BUS101 Chapter 3: Reading a Simple Income Statement - Reading Notes

Term: 1st Semester 2026-2027. Materials version 1.

Overview

The income statement tells the story of one period: what was sold, what it cost to sell it, what it cost to run the place, and what was left.

Main ideas

Top line to bottom line

Start with sales, subtract cost of goods sold to reach gross profit, subtract operating expenses to reach operating profit, then subtract interest and tax to reach net income.

Gross margin

Gross profit divided by sales shows how much of each peso of sales is left after the product itself is paid for.

Operating expenses

Rent, salaries, utilities and marketing keep the business open whether or not a sale is made today.

Period matters

An income statement always covers a span of time. Compare the same span, such as month to month, before judging a trend.

Key terms

- Cost of goods sold: The direct cost of the items actually sold in the period.
- Gross profit: Sales minus cost of goods sold.
- Net income: What remains after every expense, interest and tax.

Worked example

A bookstore sells 200,000 pesos in a month. The books cost 120,000, so gross profit is 80,000 and gross margin is 40 percent. Rent and wages take 55,000, leaving 25,000 of operating profit before interest and tax.

Practice

1. Sales are 200,000 and cost of goods sold is 120,000. What is gross profit?
2. What is the gross margin in that case?